

COMM1140: Financial Management

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April 29, 2026

Contents

1	Assessment Structure	4
2	Introduction to Financial Management	4
2.1	What is financial management?	4
2.2	Why is financial management important to study	4
2.3	Accounting vs. Finance	5
2.4	Accounting and Tax	5
2.5	Accounting Information	5
2.5.1	Who uses accounting information?	5
2.5.2	What are the different types of information in accounting	6
2.5.3	Financial accounting information and decision-making	6
2.5.4	Management accounting information and decision-making	6
2.5.5	Audit and internal control information and decision-making	6
2.5.6	Social and environmental accounting information and decision-making	6
2.6	Revenue and Expenses	7
2.6.1	Revenue	7
2.6.2	Expenses	7
2.7	Cash Accounting	7
2.7.1	Limitations of cash accounting	7
2.8	Accrual Accounting	7
3	Understanding Financial Statements	8
3.1	How is financial accounting information presented	8
3.2	Key financial statements	8
3.2.1	The Balance Sheet	9
3.2.2	Income Statement	10
3.2.3	Statement of Cash Flows	10
3.3	Connecting the Income Statement and the Balance Sheet	10
4	Analysing Business Transactions	11
4.1	What are business transactions?	11
4.2	Recording transactions using the accounting equation	11
4.3	Accrual Accounting Adjustments	12
4.3.1	Unearned revenues (deferred revenues)	12
4.3.2	Prepayments	12
4.3.3	Accrued revenues (receivables)	13
4.3.4	Accrued expenses (payables)	13
4.4	Depreciation of non-current assets	13
5	Financial Statement Analysis	14
5.1	Ratio analysis	14
5.1.1	Types of ratio analysis	14
5.2	The DuPont System	14

6	Company Valuation	15
6.1	Market Values	15
6.1.1	Accounting vs. finance perspectives	15
6.1.2	Book values vs. market values	15
6.1.3	What is a company worth?	15
6.2	Price-based Ratios	16
6.2.1	Per-share metrics	16
6.2.2	Earnings per share (EPS)	16
6.2.3	Dividends per share (DPS)	16
6.2.4	Price-to-Earnings Ratio	16
6.2.5	Dividend Yield	16
6.3	Valuation methods	17
6.3.1	Valuation approaches	17
6.3.2	Fundamental (Bottom-Up) Analysis	17
6.4	Comparable Company Analysis (CCA)	17
7	Free Cash Flow Estimation	17
7.1	What is Free Cash FLOW (FCF)	17
8	Business Taxation	17
8.1	What is a tax?	17
8.2	Why do governments impose taxation?	18
8.3	Tax policy objectives	18
8.4	Administration of Australia's tax system	18
8.5	Sources of Australian taxation law	18
8.6	Who must pay income tax?	18
8.7	What happens if taxes are not paid?	19
8.8	Tax evasion, avoidance, and planning	19
8.9	What happens if taxes are not paid?	19
8.10	Types of taxpayers	19
8.11	Administration	20
8.12	Types of taxes	20
8.13	The main Australian taxes	20
8.14	Business taxation	21
8.15	Company income tax	21
8.15.1	Deductions	21
9	Audit and Internal Control	22
9.1	Components of internal controls	22
9.2	Limitations	23
9.3	Auditing	23
9.3.1	Types of audit opinions	23
10	Responsible Financial Management	23
10.1	Corporate Social Responsibility (CSR)	24
10.2	Sustainability reporting	24
10.2.1	Benefits of sustainability reporting	24
10.2.2	Limitations of sustainability reporting	24
11	Exam Preparation	25
11.1	Exam Structure	25
11.2	Section 1 - MCQs	25
11.3	Section 2 - Financial Statement Preparation	25
11.4	Section 3 - Financial Statement Analysis	26
11.5	Section 4 - Business Taxation & Audit and Control	26

11.6 Section 5 - Multiples Valuation	27
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1 Assessment Structure

- **Assessment 1: Tutorial Participation (15%)** - Class participation (assessed in tutorials from topic 2)
 - Homework Submission (5 marks)
 - Quality and Impact of Contributions (5 marks)
 - Frequency of Participation (5 marks)
- **Assessment 2: Group Assignment (25%)** - Assignment based on the content in topics 1-5 (**Video Submission on Tuesday Week 9**)
 - Released to students **Monday of Week 5**
 - Groups of 4-5
 - 20 minute group recording
- **Assessment 3: Final Examination (60%)** - A mix of MCQs and case study/short-answer questions on all topics.
 - A new section will appear on Moodle in Week 8 to help students prepare
 - All sample questions will be provided by Week 9
- **Formal Requirements** - Passing mark of at least 50/100 throughout all assessments

2 Introduction to Financial Management

Learning Objectives

- Differentiate between accounting, finance, and tax
- Understand the different forms of accounting information
- Differentiate between revenues and expenses
- Explain the concepts of accrual accounting, cash accounting, and accounting profit

2.1 What is financial management?

- Financial management is the process of planning, organising, controlling, and monitoring financial resources to achieve company goals and objectives → how we use information to make informed business decisions
- The *primary objective* of financial management is to maximise shareholder value through appropriate utilisation and decision making

2.2 Why is financial management important to study

- Financial management is a key life skill
- Entrepreneurship and roles within a company
- Implications on all aspects of business operations (such as Marketing, Management, Tax, Information Systems, Actuary)
- Eg. Budgeting within a business
- Measuring performance of a business, eg. profit

Accounting is how you understand and run a successful business

Signs of business health include

- Profitability
- Cash flow
- Short and long term sustainability
- Business value

Accounting powers every business decision, categorised as long-term (strategic), short-term (operational), commercial (evaluation of business deals). Ultimately, accounting enables career success, as an advisor, entrepreneur, or a leader. Accounting is a good pathway into a career, as a way of entering a company.

Finance helps you value a business and make good investment decisions using accounting information.

2.3 Accounting vs. Finance

	Accounting	Finance
Goal	Understanding, managing, and reporting financial information	Optimising the value of financial resources, maximising returns and making good investment decisions
Decision-making	Informs all business decisions based on historical and real-time data	Drives decisions related to investments, financing, and risk management
Regulation	Follows standards (eg. GAAP, IFRS)	Assumptions

- Accounting ensures that high-quality numbers are available for analysis
- Finance needs accounting to begin the process of valuation (ie. to estimate the value or price of companies/assets/new projects)

2.4 Accounting and Tax

- Tax is the regulatory guidebook that ensures financial responsibility and compliance for a successful business
- It involves understanding and applying tax laws to ensure compliance, minimise tax liabilities, and take advantage of available deductions
- Tax calculations draw directly on accounting information
- It is an important part of financial management in minimising liabilities, leverage deductions, and contributing ethically to government revenue

2.5 Accounting Information

2.5.1 Who uses accounting information?

- A wide range of stakeholders use accounting information daily
- These users often have different needs that accounting information can satisfy

2.5.2 What are the different types of information in accounting

- Financial accounting → Information given to people **outside** of the enterprise
- Management accounting → Information given to users **within** the enterprise to assist in operational planning and controlling decisions
- Audit and internal control → An audit confirms the accuracy of financial statements and internal control involves implementing policies and procedures that safeguard assets and ensure reliable financial information
- Social and environmental accounting (accounting for sustainability) → Provision of non-financial information to users **external** to the enterprise

2.5.3 Financial accounting information and decision-making

- **Financial accounting** primarily serves **external stakeholders**, such as investors/shareholders, creditors, regulatory bodies and the general public
- It provides an overview of a company's financial health
- Analysing financial statements allows managers to evaluate profitability, liquidity, and solvency
- Investors rely on financial statements to inform their investment decisions

2.5.4 Management accounting information and decision-making

- **Management accounting** is designed for **internal stakeholders**, including managers and executives
- It provides detailed financial information to aid in strategic planning, budgeting, performance evaluation, and internal decision-making
- Cost accounting, a subset of management accounting, allows managers to optimise pricing and cost efficiency

2.5.5 Audit and internal control information and decision-making

- **Audits and internal control systems** ensure the reliability and integrity of financial information, instilling confidence in decision-makers
- Audits and internal control systems can also benefit internal stakeholders by safeguarding assets and promoting operational efficiency
- Investors trust audited financial statements

2.5.6 Social and environmental accounting information and decision-making

- Social and environmental accounting caters to both internal and external stakeholders
- Internally, it helps management assess the company's impact on environmental and societal sustainability
- Externally, it informs socially conscious investors, customers, and regulatory bodies about the company's commitment to social and environmental responsibility

2.6 Revenue and Expenses

2.6.1 Revenue

- Revenue represents an increase in company wealth
- Wealth increases because customers:
 - Pay cash for goods or services
 - Promise to pay cash (accounts receivable)
- Types of revenue include:
 - Sales revenue → Generated by selling goods and/or services in the ordinary course of business
 - Other revenue may consist of items such as:
 - * Interest income on bank accounts or investments (passive revenue)
 - * Dividends received from investments in other companies (dividends are optional payments to shareholders from the profit of the company as a "thank-you" payment)

2.6.2 Expenses

- Expenses represent decreases in company wealth
- Expenses must be incurred in order to earn revenue
- These **do not** include the payment of dividends since these are "distributions" of net profit and are **not** mandatory

2.7 Cash Accounting

- Cash accounting involves recording revenues and expenses **at the time the cash is received or paid**
- This is reasonably precise given that the accountant knows whether cash has been paid or received, and the amount is easily determined

2.7.1 Limitations of cash accounting

- The complexity of business means that the financial health of a company is affected by transactions and cash flows in both the past and future
- Events where the **timing** of cash flows differs from the **substance** of the transaction include:
 - Sale of goods or services on credit
 - Services that will be paid in a later period (eg. electricity, water, gas, hotel accommodations)
 - Companies receiving cash in advance for services provided (eg. magazine subscriptions, airline tickets, concert tickets)

2.8 Accrual Accounting

- To cope with these complexities, most businesses use accrual accounting
- Accrual accounting involves recording revenues and expenses **at the time they occur**, not when the cash is received or paid
- In the income statement, revenues and expenses are recognised when an economically meaningful event has occurred
- The **key test for revenue recognition is whether the goods and services have been rendered** (ie. delivery to a customer or provision of a service)

- **Receipt of cash is not required for revenue to be recognised**
- Equipment used for multiple years is not considered an expense, rather an asset. The depreciation of the asset is the expense

	Cash basis	Accrual basis
Record revenues when:	Cash is received	Revenues are earned
Record expenses when:	Cash is paid	Expenses are incurred
In Australia, the ATO says that:	Businesses with a turnover of less than \$10 million can use cash accounting	Businesses with a turnover of more than \$10 million must use accrual accounting
Benefits:	Simple and effective in managing the cash flow position of a business	More accurate and clear view of the financial health of the business

3 Understanding Financial Statements

Learning Objectives

- Understand how accounting information is presented through the financial statements
- Describe the relationship between the balance sheet and the income statement (P & L)
- Identify the components of the income statement, balance sheet, and cash flow statement
- Prepare in income statement and balance sheet

3.1 How is financial accounting information presented

- Financial accounting information is presented in an annual report
- The annual report is a comprehensive document produced by a company at the end of its financial year
- It serves as a detailed account of the company's financial performance, operational activities, and overall position during the preceding year
- Annual reports can be obtained from either
 - Company websites
 - Stock exchanges

3.2 Key financial statements

- Balance sheet
 - Financial position of a company at a particular point in time
 - Company's set of financial resources and obligations at a point in time
 - It shows a company's resources (assets) and how they were financed (liability + equity)
- Income statement
 - Financial performance of a company over a period of time
 - How effect a company is at generating a profit from operations over a period of time
 - It shows the revenues and expenses incurred over a period of time

- Cash flow statement
 - Measures cash inflows (sources of cash) and cash outflows (uses of cash) over a period of time
 - Prepared using cash accounting

3.2.1 The Balance Sheet

- In Australia, the end of the financial year is 30 June since it aligns with the tax year end
- The balance sheet has three main elements:
 - Assets
 - * Resources that will be used by the company this year or in future years
 - * Eg. cash, accounts receivable, property, equipment, inventory, investments
 - * Classified as:
 - Current (short-term) assets expected to be used in the next 12 months, eg. cash, accounts receivable, inventory
 - Non-current (long-term) assets that will be used for longer than 12 months, eg. property, plant and equipment, buildings, land
 - Liabilities
 - * A list of debt and other financial obligations (what the company owes)
 - * Eg. accounts payable, loan payable, income taxes payable
 - * Classified as:
 - Current, eg. accounts payable, wages payable
 - Non-current liabilities that will extend passed a year, eg. loans payable
 - Shareholder's Equity (also known as Owner's Equity)
 - * What belongs to the owners, the "net assets" of the company (what would be left if all liabilities were paid for and all assets sold ($SE = A - L$))
 - * Consists of:
 - Share capital
 - Retained profits
- Note: the sum of assets on a Balance Sheet must always equal the sum of total liabilities and shareholder's equity

Example

$$\begin{array}{l}
 \text{Assets} = \text{Liabilities} + \text{Equity} \\
 \text{(Resources)} \quad \quad \text{(Sources)} \\
 \$30,000 = \$18,000 + \$12,000 \\
 \text{Bought furniture for \$10,000 with a loan} \\
 \$10,000 = \$10,000 \\
 \$40,000 = \$28,000 + \$12,000 \\
 \text{Or} \\
 \text{Assets} - \text{Liabilities} = \text{Equity} \\
 \$40,000 - \$28,000 = \$12,000
 \end{array}$$

3.2.2 Income Statement

- Displays financial performance derived from business operations over a specific time period
 - Reports revenues earned, and any expenses incurred
 - **Revenue:** inflows of economic benefits that increase Shareholder's Equity
 - **Expenses:** Use or loss of economic benefits that decrease Shareholder's Equity

Example

You give a lecture in February for \$3,000. You receive the cash in March. You pay \$1,000, in February, to hire the room.

Cash Accounting

	February (\$)	March (\$)
Revenue	0	3,000
Expenses	(1,000)	0
Profit/(Loss)	(1,000)	3,000

Accrual Accounting

	February (\$)	March (\$)
Revenue	3,000	0
Expenses	(1,000)	0
Profit/(Loss)	2,000	0

This demonstrates how accrual accounting is a better depiction of a company's performance

3.2.3 Statement of Cash Flows

- The cash flow statement provides details of movements in a company's cash balance over a specific time period
- These are categorised into:
 1. **Operating activities:** main revenue-producing activities
 2. **Investing activities:** acquisition and disposal of long-term assets
 3. **Financing activities:** equity capital and borrowings
- Prepared using cash accounting

3.3 Connecting the Income Statement and the Balance Sheet

- **Retained profits** represent the sum of all previous profits minus any dividends paid to shareholders
 - Dividends are a distribution of the profits as a reward for investing in the company
- Share capital is defined as the money invested in the business in return for shares

4 Analysing Business Transactions

Learning Objectives

1. Identify and record business transactions using transaction analysis
2. Understand how different business transactions impact the financial statements
3. Identify how accrual adjustments impact the financial statements

4.1 What are business transactions?

- Transactions are events that affect the operations or finances of an organisation
 - Examples: selling goods or services, paying employees, paying dividends
- Transaction analysis involves examining each business transaction with the aim of understanding its effect on the accounting equation ($A = L + SE$)

4.2 Recording transactions using the accounting equation

Example

Revenues + Expenses

In March:

1. You give a training course for \$5,000 in cash
2. You pay \$1,000 rent for the room

Assets	=	Liabilities	+	Equity
Cash + 5,000	=		+	5,000
Cash (1,000)	=			(1,000)

Hence, profit is \$4,000.

Equity

Statement of Retained Profit	\$
Opening Retained Profit (1st March)	10,000
Profit	4,000
- Dividends	(3,000)
Closing Retained Profit (31st March)	11,000

$$\begin{array}{rclclcl} \text{Assets} & = & \text{Liabilities} & + & \text{Shareholder's Equity} \\ A & = & L & + & SE \\ CA + NCA & = & CL + NCL & + & SC + RP \end{array}$$

Where:

- $CA + NCA$ = Current Assets + Non-Current Assets

- $CL + NCL = \text{Current Liabilities} + \text{Non-Current Liabilities}$
- $SE = SC + Op. RP + \text{Profits} - \text{Dividends}$
- $SC = \text{Capital contributions by equity holders (Share Capital)}$
- $RP = \text{Retained Profits} = Op. RP + \text{Profit} - \text{Dividends}$
 - $Op. RP = \text{Opening Retained Profits}$

4.3 Accrual Accounting Adjustments

- Accrual accounting requires revenues and expenses to be recognised in the accounting period to which they relate (ie. when they occur)
- This may require an accrual adjustment to be made on the last day of the financial period to bring records up to date

4.3.1 Unearned revenues (deferred revenues)

- You are a Seller (receiver of cash)
- Cash is received in advance of earning revenue
 - The recognition of revenue is deferred
- A liability account
- Liability becomes revenue when goods or services owing are provided
- Examples
 - Cash deposit for work to be carried out in the future
 - Airline and concert tickets
 - Video streaming subscriptions

4.3.2 Prepayments

- You are a Customer (cash payer)
- Cash paid in advance of incurring expense
 - There is still value extending into the future
- Examples
 - Prepaid insurance
 - Prepaid rent
 - Office supplies
- An asset account
- Once the asset is used, the expense is incurred and an adjustment is made

4.3.3 Accrued revenues (receivables)

- You are a Seller
- Revenue has been earned, but cash not received
- An asset account
- Examples
 - Credit sales
 - Commissions earned but not received
 - Interest earned on an investment but not received

4.3.4 Accrued expenses (payables)

- You are a Customer
- Expenses are incurred, but the cash is not paid
- A liability account
- Examples
 - Wages earned by employees but not paid
 - Interest payable on outstanding loan
 - Bills for electricity, gas, or water usage not paid

4.4 Depreciation of non-current assets

- Depreciation involves allocating the cost of a non-current asset over its lifespan (useful life) to acknowledge the gradual consumption of the asset's economic value as an expense
- Accumulated Depreciation (Balance Sheet account) shows all depreciation charged against an asset to date
- Depreciation Expense (Income Statement account) shows only this year's depreciation allocation
- Net Book Value: Original Purchase Cost – Accumulated Depreciation

Example

- Equipment costs \$10,000 with a useful life of 4 years and no estimated salvage value
- The **straight-line depreciation method** is applied throughout the equipment's useful life, reflecting the assumption that the asset will be utilised evenly over its lifespan
- Depreciation calculation = $\$10,000 / 4 \text{ years} = \$2,500$
- After 3 years, the book value of the equipment is:

Equipment	\$10,000
Less: Accumulated depreciation	(\$7,500)
Book value	\$2,500

5 Financial Statement Analysis

Learning Objectives

- Explain the purpose and limitations of financial ratio analysis
- Identify key ratios and their usefulness
- Calculate and interpret the key financial ratios
- Interpret the impact of transactions on key ratios

5.1 Ratio analysis

- Absolute dollar amounts are of limited use
- Changes in key values over time are more important, (relative percentages rather than absolute values)
- Put into relation with another relevant quantity to create a meaningful metric (financial ratio)
 - Removes units
 - Compensates for price inflation
 - Allows for comparison to other firms → financial performance, market power, profit margin
- A relevant ratio must be used (eg, accounting for COGS or cost of services depending on the company)
- The ratio needs to be compared to something else, eg. another year or another company

5.1.1 Types of ratio analysis

1. Profitability ratios
 - Ability to generate earnings compared to expenses
 - Gross margin
 - Profit margin
 - Return on Assets
 - Return on Equity
2. Liquidity ratios
 - Ability to pay financial obligations
3. Activity (turnover) ratios
 - Activities, ie. the conversion of assets/liabilities into cash
4. Financial structure ratios (solvency ratios)
 - How the firm finances operations and growth
5. Price valuation ratios
 - Ratios that use market prices

5.2 The DuPont System

- Measures how well a company can create value for shareholders
- Breaks down ROE into components

6 Company Valuation

Learning Objectives

- Calculate and interpret market-based financial ratios
- Understand the difference between accounting and market-based information as well as the difference between equity and firm value
- Understand different approaches to valuation
- Using financial ratios to value companies

6.1 Market Values

The allocation of scarce resources with the uncertainty of future markets.

6.1.1 Accounting vs. finance perspectives

Accounting statements	Financial valuations
• Backward looking • "Realized" performance and state of company • Risks are generally not visible in statements • Allows investors to see what has been happening inside the firm	• Forward looking • Future or "expected" performance • Reflects uncertainty of future outcomes • Informs company about future financing options • Using market-based (what the market [investors] value the asset as) values rather than book values (what the asset is worth)

6.1.2 Book values vs. market values

Book-values account for what an asset is worth, however market-based values are based on what investors value the asset as being worth. Market value incorporates future wealth and brand value which the book value does not account for. Depending on the company, the book value may be nearly identical to the market value. Market value is most affected by the value of equity rather than debt.

6.1.3 What is a company worth?

In finance, "the value of a firm" can refer to either

- Value of equity only (Residual owner of assets)

$$\text{Market capitalisation} = \text{Market Value of Equity} = \text{Share price} \times \text{Number of shares}$$

- Value of all the firm's assets

$$\text{Enterprise Value} = \text{MV of Debt} + \text{MV of Equity} - \text{Cash}$$

6.2 Price-based Ratios

6.2.1 Per-share metrics

- **Performance metrics** relevant to shareholders:
 - Earnings per Share (in \$ and cents)
 - Dividends per share (in \$ and cents)
 - **Note:** These are not valuation ratios
- **Valuation metrics** relevant to shareholders
 - Price/Earnings Ratio
 - Dividend Yield

6.2.2 Earnings per share (EPS)

Some accounting sources use NOPAT:

$$\text{Earnings Per Share (EPS)} = \frac{\text{Operating profit after tax}}{\text{Shares Outstanding}}$$

as a "cleaner" income measure since it accounts for changes in firm size over time.

Financial analysts likely use NI, which is available to be paid out to shareholders:

$$\text{Earnings Per Share (EPS)} = \frac{\text{Net Income to Common Equity}}{\text{Shares Outstanding}}$$

6.2.3 Dividends per share (DPS)

In the accounting context:

$$\text{Dividends Per Share (DPS)} = \frac{\text{Total Annual Dividends declared}}{\text{of shares outstanding}}$$

- Used to assess a firm with itself over time

6.2.4 Price-to-Earnings Ratio

The price-to-earnings ratio is what investors are willing to pay per dollar of earnings per share. A high P/E ratio could mean that the company's stock is overvalued compared to other similar firms, or that investors are expecting high growth rates in future earnings.

$$\text{P/E Ratio} = \frac{\text{Share Price}}{\text{Earnings Per Share (EPS)}}$$

Either current or future earnings can be used, however using future earnings creates uncertainty in the ratio.

6.2.5 Dividend Yield

Measurement of the relationship between dividends and the share price

$$\text{Dividend Yield} = \frac{\text{Dividends Per Share (DPS)}}{\text{Share Price}}$$

Since the formula incorporates the share price, it cannot be used to compare different companies.

6.3 Valuation methods

6.3.1 Valuation approaches

Companies can either be valued in the short term (trading) or long term (investing)

6.3.2 Fundamental (Bottom-Up) Analysis

- Comparable Company Analysis (CCA)
 - Relative valuation approach
 - Value of a target firm depends on the value of other similar firms
- Intrinsic analysis
 - Absolute approach
 - Value depends on the present value of all future cash flows
 - The more cash flows a firm generates, the higher the value

6.4 Comparable Company Analysis (CCA)

1. Find similar peer firms
2. Obtain multiples, a ratio of firm value relative to some performance metric of the firm (eg. earnings, cash flows, sales, book value)
3. Similar performance characteristics should carry the same value. They should "trade for the same multiples"

7 Free Cash Flow Estimation

7.1 What is Free Cash Flow (FCF)

FCF is the cash left after operating the business and reinvesting in it. FCF can be used to pay dividends, pay down debt, or just sit as cash (for later reinvestment). It provides information about a company's financial strength, flexibility, and quality of earnings. Absolute valuation is when a firm is valued based on the cash it will generate for investors. Absolute valuation is when a firm is valued based on the cash it will generate for investors.

$$\begin{aligned}\text{FCF} = & \text{NOPAT} \\ & + \text{Depreciation Amortisation} \\ & - \text{Capital Expenditures} \\ & - \text{Change on Op. Net Working Capital}\end{aligned}$$

NOPAT is $\text{EBIT} \times (1 - \text{Tax Rate})$, and since depreciation is tax deductible it must be removed for tax to be calculated. However, since it is not a cash flow, it is added back when calculating FCF. The only cash flow effect of deducting depreciation is to reduce taxes.

Terminal cash flow is the value that the firm could be sold for at the horizon period. It is the single value that represents all the infinite FCF that come after the horizon period. This is calculated using firm multiples.

8 Business Taxation

8.1 What is a tax?

OECD defines tax as "a compulsory, unrequited payment to general government. Taxes are unrequited in the sense that benefits provided by government to taxpayers are not normally in proportion to their payments".

8.2 Why do governments impose taxation?

- The purpose of taxation is to raise revenue to fund the provision of public goods and services
- They solve market failures
- Helps in social/community goals: distribution objectives, inequality

8.3 Tax policy objectives

What makes a 'good' tax

- Simple: easy to understand and comply with
- Equitable: the burden should be borne fairly
 - Vertical equity: tax the rich
 - Horizontal equity: tax people with same income equally
- Efficient: should not distort decision making
- Sustainable: structurally durable, yet flexible to deal with changes
- Consistent: tax policy should be internally consistent

8.4 Administration of Australia's tax system

- Federal - Australian Taxation Office (ATO), State - Office of State Revenue (OSR)
- Commissioner of Taxation
- Inspector-General of Taxation Taxation Ombudsman (IGTO)
- Administrative Review Tribunal (ART)
- Taxpayers bear the responsibility for correctly preparing tax returns

8.5 Sources of Australian taxation law

- Statute law - legislation
- Case law - 'common law'
 - Created by the decisions of courts
 - Accumulators over time
 - Creation of law to fill a legislative vacuum
 - Statutory interpretation
- ATO practice - a de facto source of law
 - ATO's assessment and review procedures, day-to-day decisions in formal/informal dealings
 - Not technically law, but creates informal law

8.6 Who must pay income tax?

In Australia, income tax is payable by each individual and company (and other entities).

- Unlike other countries, no 'joint filing' or 'family filing' - every individual must pay separately
- Requirement to lodge annual tax return: s161(1) *Income Tax Assessment Act 1936* (ITAA1936)

8.7 What happens if taxes are not paid?

- There are ways of legitimately and illegitimately reducing taxes
- Large businesses are able to hire advisors to minimise their tax whereas small businesses who cannot afford such services are more likely to engage in illegitimate tax reduction

8.8 Tax evasion, avoidance, and planning

- **Tax evasion:** involves the illegal underpayment of tax, typically by failing to disclose liabilities or wrongly claiming benefits
 - Very illegal
- **Tax avoidance:** involves entering into arrangements that are designed to exploit unintended defects and loopholes in the law
 - There are anti tax avoidance legislations that account for many such cases
 - Is still legal
- **Tax planning:** involves the arrangement of one's affairs to exploit legitimate opportunities available under the law

8.9 What happens if taxes are not paid?

Consequences of unacceptable or overly aggressive tax management:

- Reputational effects - companies want to be seen as being 'good corporate citizens'
 - Eg. Starbucks in the UK suffered heavy reputational consequences after it was discovered that they didn't pay taxes to the UK
- Companies need to demonstrate they pay their 'fair share' of taxes ('social contract')
- ATO audits and/or audit penalties
- Imprisonment

8.10 Types of taxpayers

In Australia, different types of taxpayers are treated in different ways

- Individuals
 - Employment income, investment income, deductions (from tax claims)
 - Taxed at personal marginal tax rates
- Sole trader
 - An individual conducting a business in their own name
 - Not legally different from the individual, however will have more deductions
- Partnership
 - Two or more people conducting a business together as partners
 - It is treated as a conduit between the people, tax is distributed between shareholders
- Trust
 - A legal relationship where a trustee manages assets on behalf of the beneficiaries

- Not treated as a separate taxpayer
- Treated as a conduit for tax purposes
- Company
 - A separate legal entity
 - Treated as a separate taxpayer from shareholders and must lodge a tax return
 - Taxed at a company tax rate of 30% or 25% for small companies (aggregate turnover below \$50m).

8.11 Administration

Tax File Number (TFN)

- A TFN is a unique personal reference number in the tax and superannuation systems
- Part of identity

Australian Business Number (ABN)

- An ABN is a unique identifier assigned to each entity that is carrying on a business
- Must be displayed on all tax invoices issued

8.12 Types of taxes

- Direct taxes
 - Income taxes: personal, company
 - Property taxes
- Indirect taxes
 - Sales taxes: GST, value-added tax
 - Factor taxes

8.13 The main Australian taxes

- Federal taxes
 - Personal income tax
 - Company income tax
 - GST
 - Superannuation taxes
 - Fringe Benefits Tax (FBT)
- State taxes
 - Stamp duty
 - Payroll tax
 - Land tax
- Local government taxes
 - Council rates
 - Municipal charges

8.14 Business taxation

- Net income or net profit values are 'pre-tax' amounts

8.15 Company income tax

- There is a fundamental difference between income tax calculated in the annual financial statements and income tax liability calculated in the annual income tax return
- Financial statements are prepared in accordance with accounting standards (IFRS)
 - 'Income tax expense' in the Income Statement
 - 'Income tax liability' in the Balance Sheet
 - 'Cash taxes paid' in the Cashflow Statement

Formula for tax

Taxable income = Assessable income – Deductions [s4-15 ITAA1997]

Tax payable = (Taxable income × Relevant rate) – Tax offsets [s4-10 ITAA1997]

- Tax offsets are different to deductions
- Since they reduce tax payable, they are more valuable
- Eg. Accounts for tax paid overseas

Assessable income = Ordinary income + Statutory income [s6-1(1) ITAA1997]

- Ordinary income is income according to ordinary concepts
- Statutory income is amounts that are not ordinary income but are included in assessable income

8.15.1 Deductions

- Deductions = costs incurred by the taxpayer in gaining or producing their assessable income
- Specific deductions are amounts that a provision of the Act allows you to deduct
- Bad debts can be deducted
- In accounting, doubtful debts can be written off however in taxation they must be bad
- General deductions can be made for any loss or outgoing to the extent that:
 - It is incurred in gaining or producing assessable income
 - * There is maximum value of a good as long as it serves a business related function
 - It is necessarily incurred in carrying on a business for the purpose of gaining or producing your assessable income
 - Cannot deduct the following
 - * Loss or outgoing of capital
 - * Loss or outgoing of a private or domestic nature
 - * It is incurred in relation to gaining or producing your exempt income
 - * A provision of this Act prevents you from deducting it
 - Depreciation can be claimed

- ‘Capital allowances’ is a generic term that refers to the taxation treatment of depreciable assets
- If a business experiences losses (eg. COVID), they are eligible to hold their taxes and pay them in a later year (carried forward tax loss)
- In this case, the business must pass either the same business or similar business tests (shareholders with >50% voting power must have their shares at the start and end of the year)

9 Audit and Internal Control

Internal controls are safeguards that help a company achieve its goals and protect its assets. They are designed to prevent errors, fraud, and misuse of resources by establishing guidelines and processes that ensure accountability, accuracy, and compliance with laws and regulations.

Technical definition: Internal control is a process effected by an entity’s board of directors, management, and other personnel, designed to provide reasonable assurance regarding the achievement of objectives in the following categories:

- Effectiveness and efficiency of operations including safeguarding assets against loss
- Reliability of internal and external financial and non-financial reporting
- Compliance with applicable laws and regulations

Note that it is impossible to obtain absolute assurance, since there are always unforeseeable future events

9.1 Components of internal controls

- Control environment
 - Refers to the overall attitude, awareness, and actions of an organisation towards establishing and maintaining effective control measures
 - A strong control environment is characterised by management’s emphasis on integrity, ethical behaviour, and accountability
 - This promotes a culture of compliance, where employees understand and adhere to established policies and procedures
- Risk assessment
 - Identifying risks that could impact the business
 - Assessing the likelihood of these risks
 - Evaluation of the impacts
 - Prioritise risks that require immediate action
 - Develop risk management strategies
- Control activities
 - Actions or steps taken by an organisation to mitigate the effects of key risks identified during risk assessment
 - This often involves the segregation of duties and authorisation and approval processes
- Information and communication
 - Making sure the right information reaches the right people at the right time
 - How management communicate risk management policies to staff

- How management seek feedback from staff on concerns and issues that require attention
- A good system creates an environment that allows and promotes free flowing information from the bottom up
- Monitoring
 - Periodically checking up on security measures
 - Tracking metrics relevant to internal controls

9.2 Limitations

- Genuine mistakes
- Collusion among employees (not very often)
- Computer fraud
- Cost versus benefit of internal control systems (eg. unprofitable to hire infinitely many security guards)

9.3 Auditing

- Expression of an opinion on the financial statements
- Provide a true and fair view
- In accordance with Corporation Act 2001
- The auditor's report is included in the annual report
- Auditors are independent of the company, and can therefore be an unbiased, professionally sceptical reviewer of the financial statements

9.3.1 Types of audit opinions

- Unmodified (or unqualified) opinion
 - Issued when the auditors believe that the financial statements give a true and fair view
 - Absence of qualifying language
- Qualified opinion
 - Issued when a specific part of the financial statements contains a material misstatement or adequate evidence cannot be obtained in a specific, material area, and the rest of the financial statements are found to present a true and fair view, in accordance with accounting standards
- Adverse opinion
 - Auditors believe that the misstatements are so pervasive that the financial statements do not present a true and fair view
- Disclaimer opinion
 - Auditors are unable to express an opinion because of a limitation in the work the auditors were able to do

10 Responsible Financial Management

Companies need to accommodate the impact on all stakeholders of the company. External stakeholders are outside of the company, and internal stakeholders are within the company. In traditional accounting methods, the wants of external stakeholders are not properly accounted for.

10.1 Corporate Social Responsibility (CSR)

- CSR sets an expectation that all organisations manage the social and environmental impact of their economic activities.
- The financial performance of a company can also be impacted when it fails to identify and manage social and environmental risks

10.2 Sustainability reporting

A sustainability report provides disclosures on an organisation's impacts on the environment, society, and the economy. These reports are voluntary. The Global Reporting Initiative (GRI) Standards create a common language for organisations, large or small, private or public, to report on their sustainability impacts in a consistent and credible way.

10.2.1 Benefits of sustainability reporting

- Enhance transparency to stakeholders
- Strengthen reputation
- Achieve continuous improvement
- Improve regulatory compliance
- Strengthen risk awareness and management

10.2.2 Limitations of sustainability reporting

- Can only provide limited assurance
- Since reporting is not mandatory in most jurisdictions, assurance is not mandatory
- Not all factors of sustainability can be measured

11 Exam Preparation

11.1 Exam Structure

- 18 multiple choice questions covering all examinable weeks of the course (not including week 10)
- Financial statement preparation
 - Balance sheet
 - Income statement
- Financial statement analysis
 - DuPont ROE analysis
- Business taxation
- Valuation and free cash flow estimation

11.2 Section 1 - MCQs

Common sense questions

11.3 Section 2 - Financial Statement Preparation

- Balance sheets
 - Each transaction is pretty self explanatory
 - Make sure that all transactions follow the equation (it may be helpful to mark the sections on the provided balance sheet)
- $$\text{Assets} = \text{Liabilities} + \text{Equity}$$
- Each step should in itself follow this rule for transactions with multiple steps
 - For things like rent and insurance that might not be paid at the beginning of the financial year, subtract the total from cash and add the total amount under "Prepaid ...". Then deduct the used amount from the "Prepaid ..." and the retained profits column.
 - Accounts receivable is sometimes abbreviated as "A/Rec." or something similar
 - Note that inventory is NOT the same as COGS.
- Income statements
 - Income statements are often a lot less structured, but should follow the following layout

	\$
Sales Revenue	
LESS: COGS	
Gross Profit	
Less expenses:	
Wages	
Rent	
Depreciation	
Insurance	
Net profit	

- Everything other than the section below "Less expenses:" is guaranteed to have that layout, so memorise it
- Gross profit refers to Revenue – COGS whereas net profit includes all additional costs of a company
- Closing/retained profits
 - This can be given as a table or just a calculation
 - Simply, it is the retained profits from the previous year (given), add the net profit for the period, less dividends declared during the year

	\$
Retained profits at (end of previous financial year)	
ADD: net profit for the period	
LESS: dividends declared during the period	
Retained profits at (end of finished financial year)	

- These questions usually require you to show working, just writing ADD and LESS is sufficient

11.4 Section 3 - Financial Statement Analysis

- This section requires the least amount of studying
- Remember that DuPont analysis is just the Leverage Ratio, Profit Margin, and Asset Turnover, all of which are on formula sheet
- The calculations of these are basic
- The following part will have some transactions and you will need to state the impact of the transactions on different ratios
- This part has the most "traps" in the exam
- Look at the ratio and see which two things affect it. Then work out whether or not the transaction actually impacts it (it may not). If it does, write down it's impact with one sentence of explanation

11.5 Section 4 - Business Taxation & Audit and Control

- Taxation is hard since it was only covered in one lecture
- A company qualifies as a base rate entity if they report an aggregate turnover of less than 50,000,000 *AND less than 80% of*
- The base rate is 25%, otherwise taxed at 30%
- Calculations are required for these marks to complete these tests
- To calculate the tax payable:

	\$
Assessable income	
LESS expenses	
(write down the amount if there's a space for it)	
ADD BACK	
Customer entertainment	
Fines and penalties	
Accounting depreciation	
LESS:	
Tax depreciation	
Tax loss carried forward	
Taxable income	
Tax payable @ (tax rate)	

- All audit issues fall under the categories Control Environment, Control Activities, and Monitoring
- Anything that would allow an employer to abuse the current system is a risk
- This includes stuff like being overworked or pressured by coworkers
- Most common fixes include
 - Segregation of duties
 - Authorisation to confirm
 - Periodic review
 - IT systems (Vulnerable to hacking though)

11.6 Section 5 - Multiples Valuation

- Again, this section is mostly simple calculations
- Everything you need is on the formula sheet
- Usually the ratios for the comparison companies are already worked out for you
- To get an "Implied value" for a company, multiple the ratio of another company by whatever the denominator is for the target company

Example

Harvey Norman (target company) has an EPS (earnings per share) of \$2.7. Another company had a P/E ratio of 13.14.

Since P/E is calculated by

$$\text{P/E Ratio} = \frac{\text{Market Price per share}}{\text{Earnings per share}},$$

we find the implied Market Price per share of Harvey Norman by

$$\begin{aligned} \text{Implied MP per share} &= \text{P/E} \times \text{EPS} \\ &= 13.14 \times 2.7 \\ &= 35.48 \quad (\text{always do 2 decimal places unless specified otherwise}) \end{aligned}$$

- They won't ask for analysis on the results since they aren't very valuable without other measurements